centro studi TELESIO

DISPENSA DIDATTICA

THE BUSINESS WORLD

MATERIA E DOCENTE:

Inglese– Prof.ssa Maria Vittoria Fontanesi

1. Introduzione all'argomento

In this module, we will study the business world.

2. Analisi e contestualizzazione

1. Economic systems
2. The public sector
3. Economic indicators
4. Focus: green economy
5. Focus: youth unemployment.

1: Economic systems

1.1 Free-market economy

1.2 Command / planned economy

1.3 Mixed economy

An economic system is a **network of organisations** aimed at answering the following questions: **what to produce, how to produce, for whom to produce**.

The differences between economic systems concern the **amount of influence that the government** has on the production and the distribution of goods and services.

There are three main economic systems:

1. Free-market economy
2. Command / planned economy
3. Mixed economy

1.1 FREE MARKET ECONOMY

The economy is based on the market forces of **supply and demand**, and the government has little or no control. The main actors are **private companies**, which decide what to produce on the ground of the consumers' needs and according to what they are ready to spend.

In a completely free-market economy, private companies also run hospitals, education, transportation, etc. The government only ensures the stability of the system and provides services and goods that the market cannot provide (e.g. national defence, assistance plans for low-income people). The **USA** has a mainly free-market economy.

1: Economic systems

1.2 COMMAND / PLANNED ECONOMY

The **government is in complete control of the economy** and makes all the decisions concerning the production and the distribution of goods and services.

Prices are established by the government.

This system is typical of **dictatorships** or countries where governments have strong political ideologies (e.g. North Korea, Myanmar, etc.)

1.3 MIXED ECONOMY

It is the **most common** economic system in the modern world, typical of European countries.

- **The government controls the public sector**: essential public services like health and education.
- The **private sector** is governed by the price mechanism of supply and demand, and companies compete against each other for goods and services.

2: The public sector

It is the part of the economy that is **controlled by the state**, and it is formed by **public corporations** owned and run by local or central governments. These corporations provide goods and services for the citizens and are paid for with money raised from taxation.

Some organisations are involved in areas where the government has a direct responsibility (education, health, defence); while others provide services of national interest (electricity, water, transport, communication) and compete with private companies.

At the end of the 20th century, many governments started to **privatise some public corporations** in order to make them more efficient and profitable (privatisations in the UK during the 1980s under PM Margeret Thatcher).

Privatisation is a controversial phenomenon: for instance, in the 1990s more than 200,000 jobs were lost in the UK as a consequence of privatisations of the coal-mining industry, which resulted in the largest industrial conflict of the modern age in Great Britain.

In the last two decades we witnessed a revival of public ownership at a local level: a phenomenon known as **remunicipalisation**. This happened mostly in areas where privatisations failed to improve efficiency and led to underinvestment.

Global crisis such as the Covid-19 pandemic, the increase in energy prices and growing concern about the environment are raising questions on the **boundaries of public and private ownership**.

Advantages:

- Protection and maintenance of essential services for the citizens.
- No duplication of services.
- Lower and stable prices for essential industries.
- Profits go back to the government.

2: The public sector

Disadvantges:

- Increased bureaucracy and slow decision-making processes.
- Management influenced by the politics,
- Lack of competition, leading to inefficiency.
- Losses paid for by the state through taxes.

3: Economic indicators

3.1 GDP and GNP

3.2 Inflation and deflation

3.3 Unemployment

3.1 GDP and GNP

- **GDP (Gross Domestic Product)**: total value of goods and services produced within the borders of a nation in a year. It is the most used indicator to measure the size and the growth rate of economies.
- **GDP per capita**: a country's GDP divided by its population. It indicates the average income of the citizens of a country.
- **GNP (Gross National Product)**: the GDP of a nation plus money earned from investments abroad and minus money earned by non-citizens and foreign businesses within a nation.

Economic growth depends on the percentual change in the GDP, meaning the increase in the market value of the goods and services produced by a country in one year.

Higher GDP means improved standard of living, but also an increase in the business activity and in the amount of investments within the economy at a national level. Because of its positive effects**, governments promote** economic growth through:

- Efficient use of resources;
- Investments in new machinery and improvement of production techniques;
- Adequate training of the workforce.

3: Economic indicators

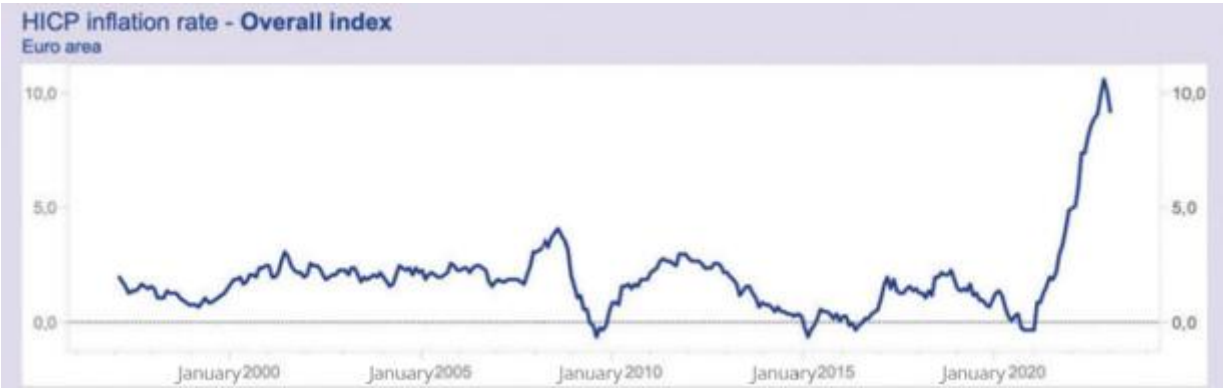
The **business cycle** can be defined as the **cyclical pattern** of economic increase and decrease, representing the turning points at which the economy takes a new direction. It is characterised by 4 phases:

- **Expansion**: period of economic boom with high consumption, production and investments.
- **Recession**: a drop of the GDP with a decrease in spending, production and inflation.
- **Depression**: a recession that lasts for more than eight months, high unemployment.
- **Recovery**: the economy rises again, helped by monetary measures of banks and government.

3.2 INFLATION AND DEFLATION

Inflation measures the **increase in the prices of goods and services** over a period of time, knowing that, when price level rises, the purchasing power of money decreases. Most economists favour a low and steady rate of inflation (around **2%**).

Central Banks' task is keeping a stable inflation rates, and they do this by controlling interest rates. In the euro area, **HICP** (Harmonised Index of Consumer Prices) is used to measure inflation, and the same methodology is used in all EU countries.



3: Economic indicators

High inflation causes several problems:

- People with fixed incomes tend to **buy less** and, consequently, the economy suffers.
- Workers **ask for pay increases** to match price rises.
- The cost of businesses tends to increase, thus leading to a fall in production.
- The **importation** of cheap products from abroad increases, as domestic prices rise.

Deflation happens when general price levels fall and the purchasing power of money increases. It is due to a decrease in demand and, consequently, to an abundance of offer of products and services. Deflation slows down economic development because it increases the real value of debt, thus reducing the spending power of both consumers and businesses.

Another related phenomenon is that of **shrinkflation** (shrink + inflation), i.e. the practice of reducing or shrinking the size / quantity / weight of a product, while the price remains the same or even increases slightly.

It is a form of hidden inflation because, at the end of the day, **consumers get less for their money** without even noticing the small changes in the size of the products.

3.3 UNEMPLOYMENT

It refers to the **number of people in the workforce of a country who are able to work but unable to find a job**. A healthy economy has low levels of unemployment during normal times (between 3% and 5%).

High unemployment can **damage the economy** of a country because the government must cover welfare payments, demand for consumers' products is lower, and the production tends to decrease. Governments can reduce unemployment by:

- **Retraining** unemployed people;
- **Incentivising** businesses to relocate to areas of high unemployment;
- **Increasing demand** by reducing taxation and interest rates.

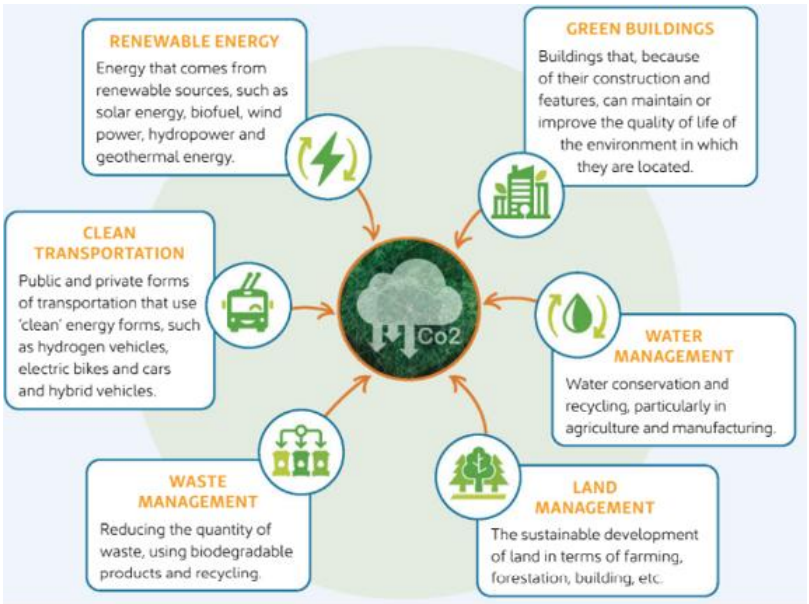
4: Focus – Green Economy

Natural capital can be defined as nature's contribution to the economy, as the planet makes human life possible thanks to elements that are necessary for our survival (water, air, land…).

Green economy is the system of economic activities related to the production, distribution and consumption of goods and services resulting in an improvement of human well-being in the long run, while not exposing future generation to environmental risks and ecological scarcities.

Natural capital and green economy are more and more important to achieve a **sustainable economic growth**. However, traditional measures of economic performance do not consider natural capital, and this is becoming unsustainable. The solution is the **integration** of natural capital and green economy into economic decision making, so as to achieve sustainability and resilience of economic systems in the long term.

Today **consumers** are aware of the problems related to climate change and look for environmentally friendly, socially responsible and sustainable products and services. Therefore, companies should be aware of this **change in consumption trends** and adapt to them.



5: Focus – Youth unemployment

The **NEET rate** is an economic indicator that measures the percentage of young people (aged 15-24) who are **Neither in Employment nor in Education or Training**.

In 2020, **22.4%** of young people were NEET, the majority being girls and young women. Additionally, the NEET status tends to be more permanent for girls than for men, according to the ILO (International Labour Organisation). In fact, NEET rates for women aged 25-34 are almost the same as the younger group.

The main reason for this **gender gap** in NEET rates is due to **family responsibilities**, who penalize girls especially in low and middle-income countries.

